



Tencent – Happibits

MN-60030

Phase 1 Determination

Acquisition may be put into effect

15 September 2026

1. Determination and statement of reasons

Notified acquisition	Mount Baker Investment Limited (Mount Baker), a special purpose vehicle wholly owned by Tencent Holdings Limited (Tencent) proposes to acquire a portion of the share capital, on a fully diluted basis, from Happibits Inc. (Happibits) (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, Tencent, is a multinational technology and entertainment company. Tencent is also active in the video game industry, including the development and publishing of games for various platforms, such as mobile devices, computers and consoles. Tencent's portfolio covers all major genres of games, and publishes games developed both in-house and by third-party developers. Three of Tencent's investee studios that are relevant to the Acquisition (and accordingly are connected entities to Mount Baker) are Riot Games, Inc (Riot Games) Supercell OY (Supercell) and Miniclip S.A. (Miniclip) (together, relevant entities). The relevant entities develop and publish video games for mobile devices in Australia. The target, Happibits, through its subsidiaries, is engaged in the development, publication and operation of casual video games for mobile devices globally.
Overlap between the Parties	Tencent and Happibits overlap in the development, publication and operation of video games for mobile devices.
Reasons for determination	When making a determination in Phase 1, the Australian Competition and Consumer Commission (ACCC) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's merger assessment guidelines and interim merger process guidelines. In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form and other information available to it. The ACCC has determined that the Acquisition may be put into effect as it considers that the Acquisition would be unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings. • The Parties do not appear to be close competitors. • The Parties would likely continue to face competition from

	several alternative suppliers of video games for mobile devices in Australia.
Applications for review	A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by Commissioner Williams pursuant to a delegation under section 25(1) of the Act